

Inflation's Mixed Financial Impact on the U.S. Excess & Surplus Insurance Market

Author: Prateeksha Mehta

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Abstract

This study examines the dual impact of inflation on the United States Excess & Surplus (E&S) insurance market between 2022 and 2025. The E&S sector initially benefited from inflation as carriers increased premiums faster than general price levels. However, inflation also led to rising operational and claims-related costs, compressing profit margins. Using Producer Price Index (PPI), Consumer Price Index (CPI), Current Employment Statistics (CES), and premium data from the Surplus Lines Association (SLA), this paper quantifies inflation's shifting effects on revenue, expenses, and claims. Results indicate that inflation first supported revenue growth before transitioning into a source of financial pressure as operational and claims-based inflation persisted. The study concludes that E&S insurers must monitor cost drivers closely and incorporate inflation expectations into pricing and operational strategies.

1. Introduction

The Excess & Surplus (E&S) insurance market provides coverage for high-risk or non-standard exposures that traditional admitted insurers often decline. Inflation significantly influences E&S performance by affecting both premium pricing and the cost of underwriting operations and claims. This paper evaluates how inflation affects E&S premium growth, operational expenses, and claims-based costs, offering a comprehensive view of its financial impact.

2. Literature Review

Industry analyses and academic studies highlight inflation's multifaceted effect on insurance markets. AM Best (2023) documents rising operational expenses and pressure on underwriting margins due to inflation-driven increases in wages, legal fees, and service costs. Deloitte (2023) emphasizes the structural nature of inflation in the insurance sector, noting persistent surges in labor and technology-related costs. Feldblum (2001) provides a theoretical lens, illustrating how inflation contributes to underwriting cycles by raising claims severity and administrative expenses. These studies collectively affirm that inflation affects both revenue potential and cost pressures, which this study quantifies within the E&S market context.

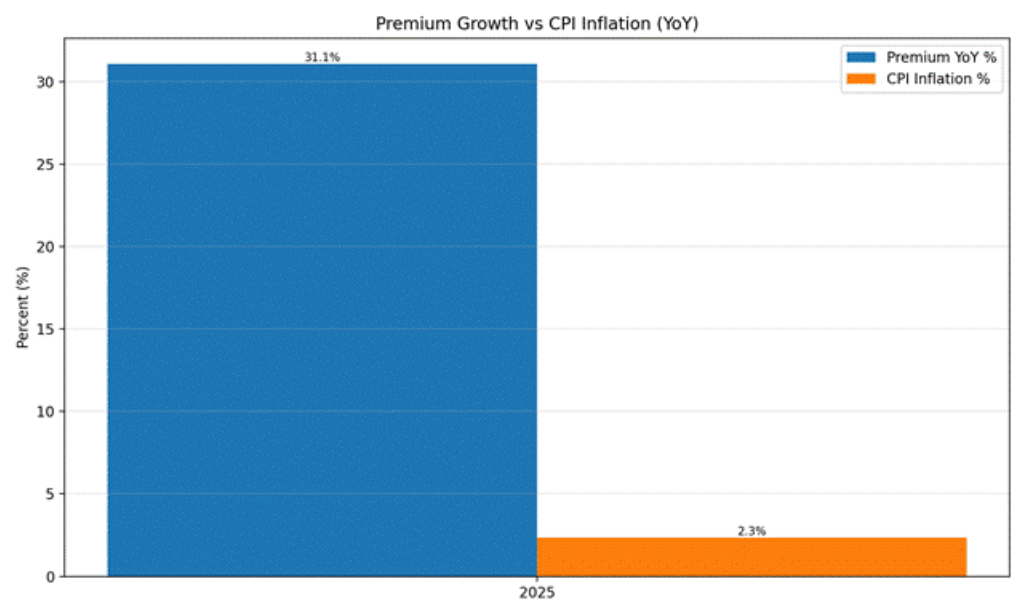
3. Data and Methodology

This study integrates data from the Bureau of Labor Statistics (BLS), including CPI, PPI, and CES datasets, along with E&S premium data from SLA. Monthly index values were converted into annual averages, and year-over-year (YoY) inflation rates were computed. The datasets were analyzed in Python and Excel to assess inflation-driven trends across premium growth, operational expenses, and claims-cost drivers.

4. Results

4.1 Premium Growth Trends

Figure 1 – Premium Growth vs CPI Inflation in the California E&S Market (2022–2025)



Premiums increased significantly faster than inflation from 2022 to 2024, demonstrating strong pricing power. In 2025, premium growth slowed, indicating diminishing inflationary benefits.

4.2 Operational Cost Inflation

Table 1 – Comparison of Premium Growth and Cost Inflation (2022–2025)

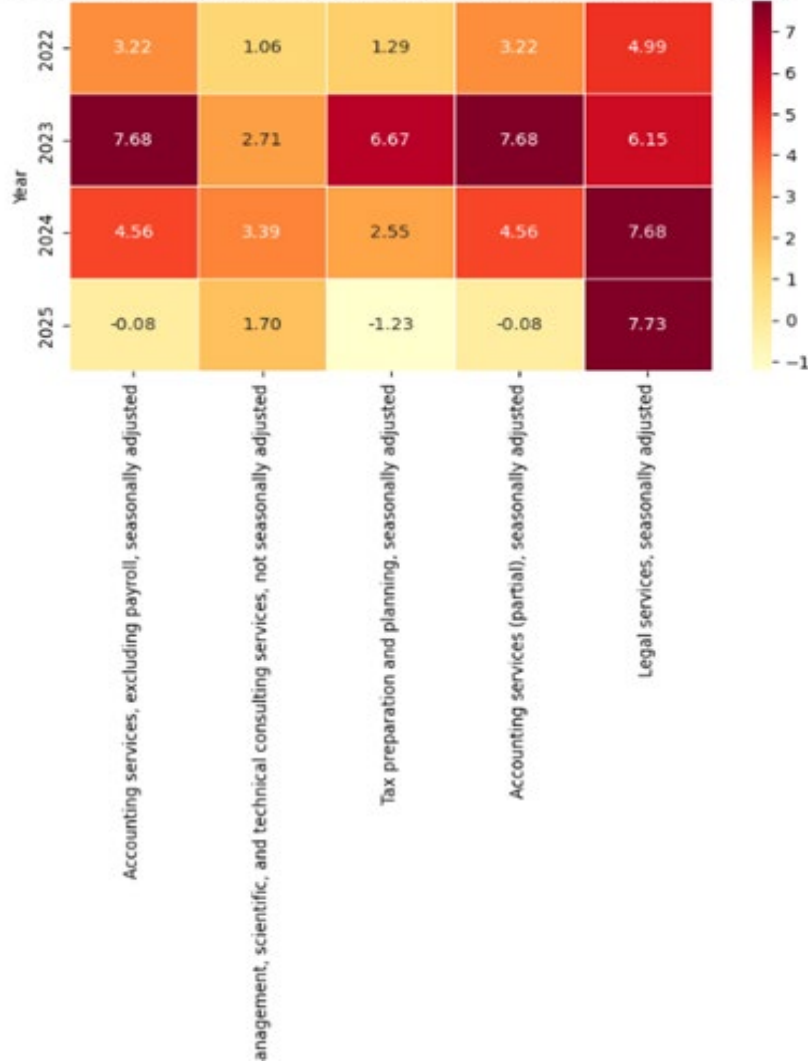
Year	Premium_Growth_%	Labor_YoY_%	Operational_PPI_YoY_Avg
2022	28.02	4.96	3.73
2023	2.62	5.81	4.9
2024	14.68	5.45	4.55
2025	-15.79	3.43	1.65



4.3 Cost Breakdown by Category

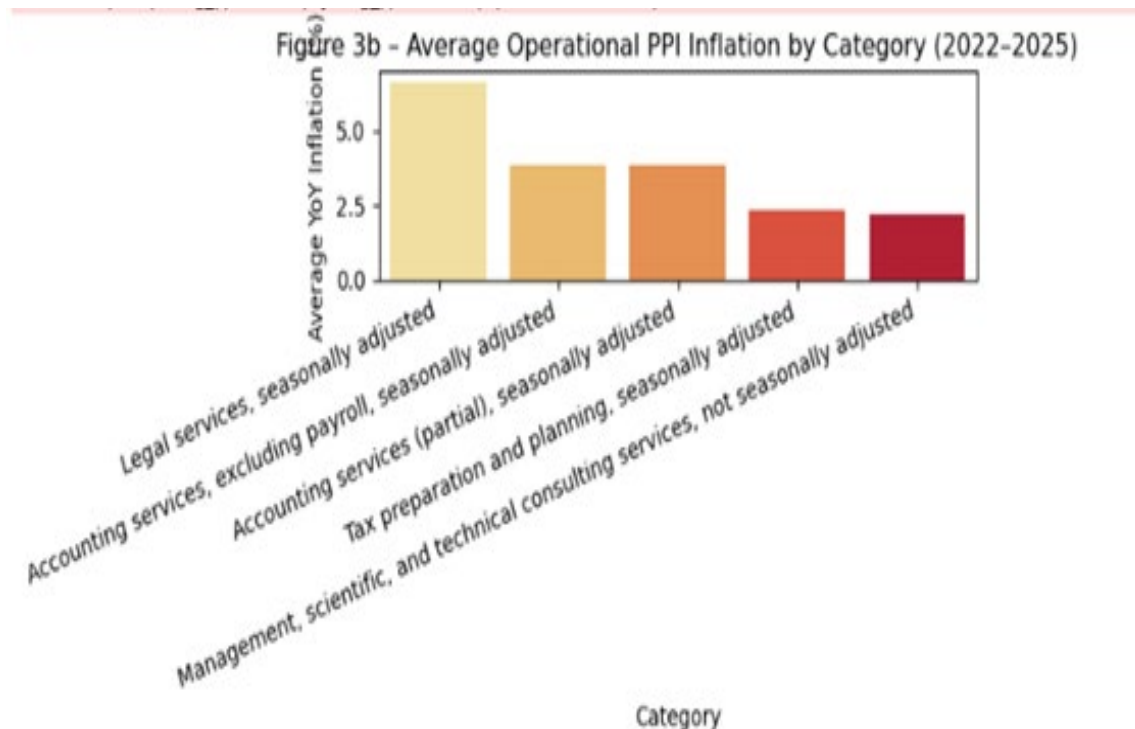
Figure 3a – Heatmap of Operational PPI Inflation by Category (2022–2025)

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The heatmap illustrates how inflation varied across service categories over the four-year period. Darker color intensities in 2023 and 2024 indicate a rise in inflation across all categories, particularly in legal and accounting services, which recorded the highest cost growth. By 2025, the heatmap shows lighter colors, suggesting that inflation eased slightly but remained positive.

Figure 3b – Average Operational PPI Inflation by Category (2022–2025)



The bar chart presents the average inflation rate for each service category. Legal and accounting services recorded average inflation rates of approximately five percent, followed by consulting and management services at around three percent. This indicates that cost inflation has been broad-based, affecting multiple service areas that support E&S carriers' operations.

4.4 Claims-Cost Inflation

Year	Med ical_ Inde x	AutoRe pair_In dex	Construc tion_Inde x	Medical _YoY_ %	AutoRep air_YoY_ %	Construct ion_YoY_ %	Premium_ Growth_ %
2022	546.55	344.14	183.04	4.05	8.24	12.84	28.02
2023	549.08	383.83	184.46	0.46	11.53	0.78	2.62
2024	563.84	407.27	185.40	2.69	6.11	0.51	14.68
2025	578.75	428.97	186.79	2.64	5.33	0.75	-15.79

Figure 4 – Claims-Cost Inflation Trends (2022–2025)

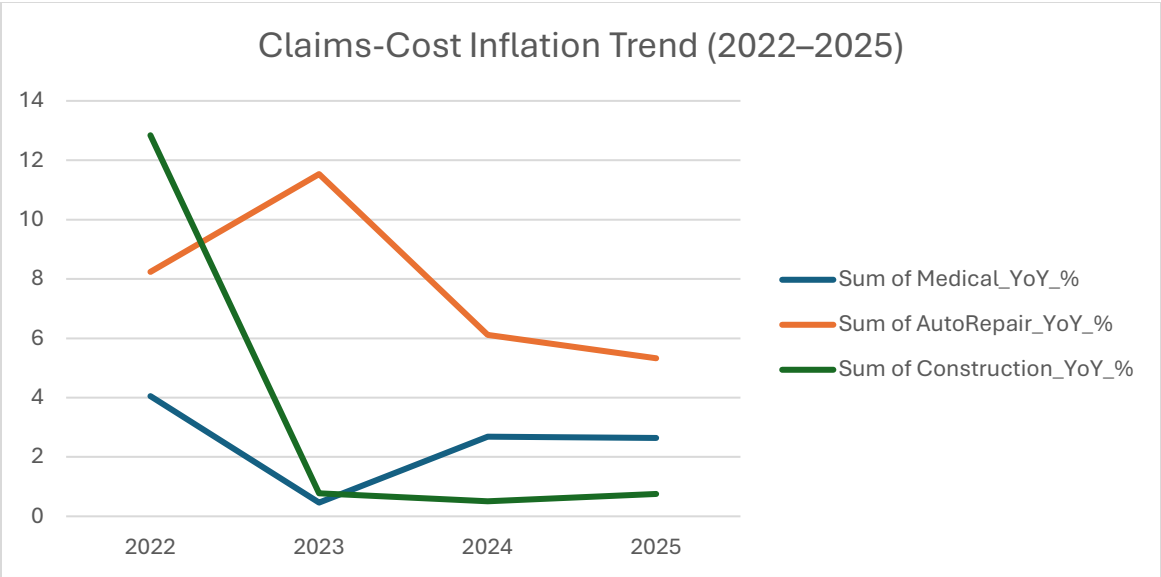


Figure 5 – Claims-Cost Inflation Comparison (2025)

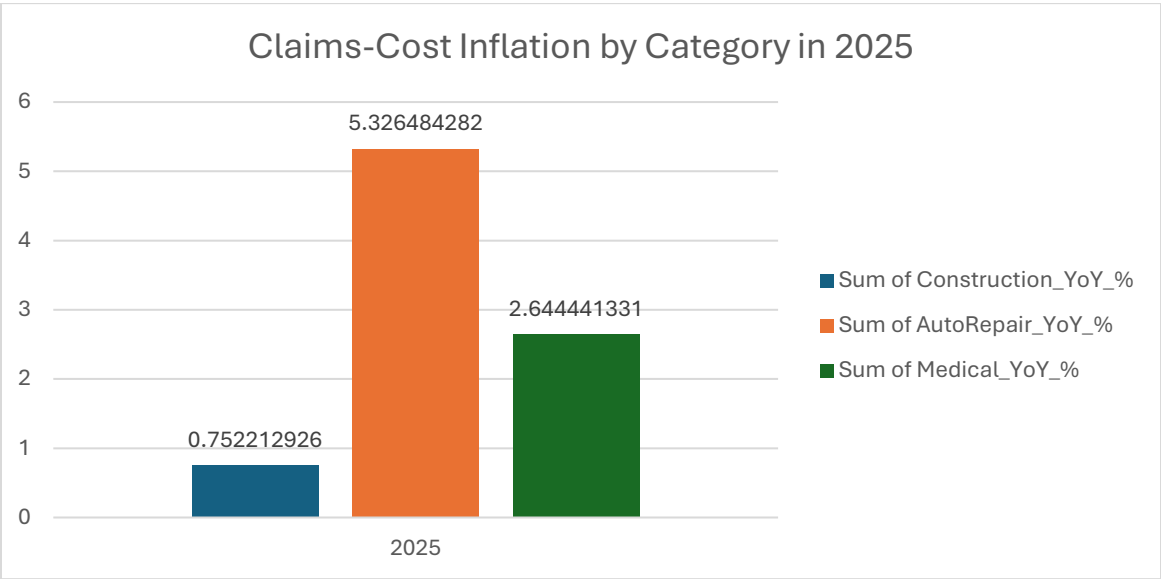
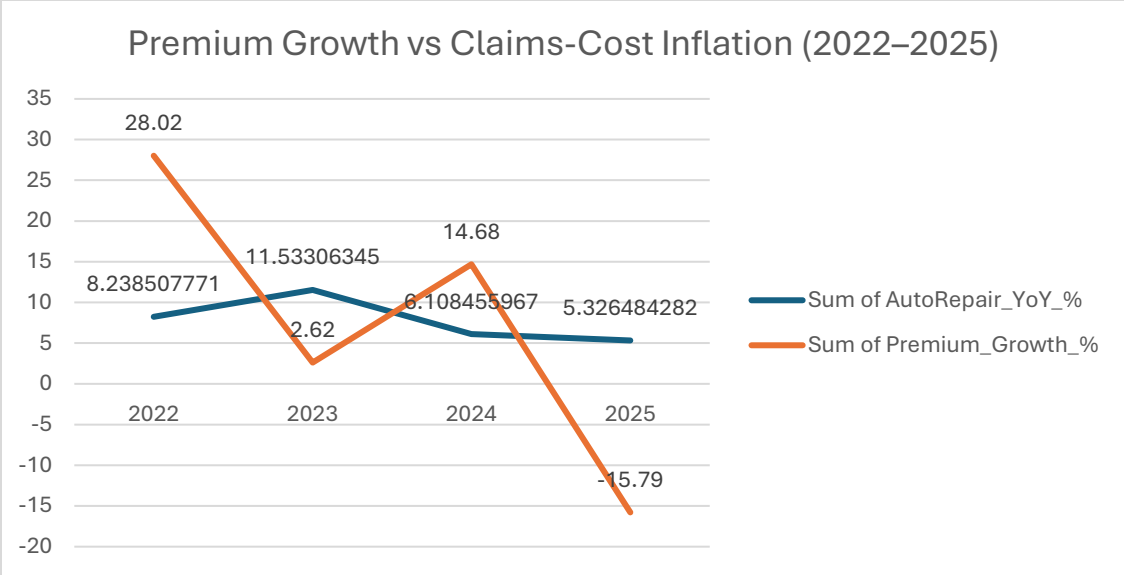


Figure 6 – Premium Growth vs Claims Inflation Overlay (2022–2025)



Claims-related inflation exhibited divergent trends, with auto repair costs experiencing the greatest and most sustained inflation compared to medical and construction categories. In 2025, claims inflation remained positive even as premium growth turned sharply negative, indicating significant margin pressure.

5. Discussion

The combined results reveal a cyclical inflation pattern in the E&S market. From 2022 to 2024, inflation supported premium growth and underwriting profitability. However, persistent increases in operational and claims-based costs during 2025 compressed margins despite moderating inflation. These findings highlight the importance of integrating inflation metrics into pricing, reserving, and operational planning strategies.

6. Conclusion

This study shows that inflation has affected the E&S insurance market in complex and evolving ways across the period from 2022 to 2025. While inflation initially supported premium growth and strengthened revenue performance, it simultaneously increased the cost of running an insurance operation through higher labor expenses and rising prices for key professional services. Claims-cost inflation added an additional layer of pressure, particularly through persistent increases in auto repair and medical care costs. Together, these dynamics reveal that inflation has not acted uniformly across the market; instead, it has shaped different components of insurer performance at different times.

By 2025, the imbalance between falling premium growth and persistent expense and claims inflation produced notable margin compression. These results underscore the need for E&S carriers to closely monitor inflation indicators and incorporate them into underwriting, pricing, and reserving decisions. As inflation continues to shift, insurers that proactively adjust strategies, especially in expense management and claims forecasting, will be better positioned to maintain stable financial performance. This research highlights the importance of viewing inflation holistically rather than as a single indicator, emphasizing that both revenue and cost pressures must be assessed together to fully understand the financial impact on the E&S market.

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